



Qualification Programme Examination Panelists' Report

Module 12 – Business Finance (December 2021 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance in the examination.)

(I) Section A – Case Questions

General Comments

Overall performance in this section was fair. Candidates are reminded to read the case and question requirements carefully before they plan and write their answers. Candidates are advised to be familiar with specific applications of strategic models to review and evaluate business operations and business strategies. Moreover, candidates are recommended to consider and assess different alternatives, short term and long term impacts of ethical decisions practically in the case. Overseas business acquisition has been very common in the business environment so candidates should be more familiar with due diligence processes to address different aspects of overseas business acquisition. Candidates should consider more practical business issues and variables when they use net present value to conduct financial feasibility. Again, merely copying materials from the learning pack into answers without further explanations and applications should be avoided. Candidates are advised to look at the case carefully so that they know how to explain and apply their knowledge to answer the case questions. Candidates should also wisely manage their examination time so that they can complete all the examination questions.

Specific Comments

Question 1 – 15 marks

This question required candidates to prepare a memo to the Board of Directors to recommend the most suitable strategic model and to explain how the company could use it to review and evaluate the value adding activities in the production of medical masks and how it could contribute to manufacturing new medical protection suits. Value chain analysis should be used that includes primary activities, namely inbound, operation, outbound, marketing and sales, services, and secondary activities, namely procurement, technology, human resources and infrastructure, to review and evaluate the production of medical masks by referring to specific case information. Moreover, candidates were asked to decide whether these activities could contribute to manufacturing new medical protection suits. Around half of the candidates were able to use value chain analysis to answer this question, but many candidates were not able to evaluate outbound, operations, infrastructure and technology with case information specifically. Also, only half of the candidates were able to use value chain analysis to evaluate whether these activities could contribute to manufacturing new medical protection suits. Many candidates were not able to write a proper memo structure with

introduction, content and conclusion. Therefore, candidates are advised to practise how to write a proper memo format and structure. Moreover, candidates should understand and know how to use proper strategic models supported by case information to review and evaluate the operation and strategy of a business.

Question 2 – 10 marks

This question required candidates to use an ethical model to describe and explain what Mr. Song should consider to make a decision about whether the company should sell medical masks to consumers at inflated prices. Most candidates were able to apply the American Accounting Association ethical model and to apply correct case information to answer this question. Nevertheless, candidates have to polish further their analytical skills to consider alternatives, and the short term and long term consequences in ethical questions. Most candidates only considered two alternatives, namely keeping the existing price or increasing the price of the masks. Candidates did not consider alternatives like the possibility of adopting cost plus pricing to reflect the long term increase of production costs of the masks in the pandemic situation. Again, candidates are reminded not to copy materials from the learning pack and case information in their answers without explanation and analysis.

Question 3(a) – 8 marks

This question required candidates to propose and explain the processes that the company should conduct before the acquisition of the medical protection suits manufacturing factory in the Netherlands in order to mitigate the associated risks of the acquisition. Most candidates were not able to propose that the company should conduct overseas due diligence before the acquisition. A lot of answers did not propose and explain different types of due diligence that could be applied in this overseas business acquisition case. Also, most answers were too generic without further elaborations and application of case information. Candidates are suggested to be familiar with the application of different due diligences applying in overseas business acquisition.

Question 3(b) – 4 marks

This question required candidates to recommend what external professionals should be involved and their duties in this overseas acquisition. Most answers were generic without considering the use of specific overseas professionals in an overseas business acquisition setting. Most candidates were able to find overseas lawyers and tax specialists to address legal and tax issues in overseas business acquisitions but a lot of candidates were not able to address legal structure and valuation of intellectual property in this case. Candidate are recommended to be familiar with overseas business acquisitions so that they can recommend specific overseas professionals to address different issues in this case.



Question 4 – 13 marks

This question required candidates to use the most appropriate method to assess the financial feasibility of Project Adventure and use nominal values to prepare the financial feasibility analysis to provide recommendations to the Board of Directors. Most candidates were able to use the net present value method to assess the financial feasibility of the project. Nevertheless, some candidates did not use nominal values correctly to calculate sales and operating costs, and some candidates were not able to calculate tax effects on depreciation and cash flow from disposal correctly. Some candidates were not able to use the Fisher equation to calculate the discount rate correctly. Candidates are suggested to be familiar with the net present value calculation with different variables, such as inflation rate, interest rate, depreciation, disposal of assets, that are practical business issues to address in financial feasibility in business decision making. Moreover, candidates are advised to have better time management in the examination because nearly one third of candidates did not attempt this question.

(II) Section B – Essay/Short Questions

General Comments

The overall performance was below average. The candidates performed better in calculation, but badly in providing advice. The candidates' analytic skills were weak, and they were unable to provide specific advice to the background given in the questions.

Specific Comments

Question 5(a) – 10 marks

This question required candidates to prepare the cash flow forecast and advise the funding requirement to sustain their operation for a given scenario.

The performance of the candidates was good. The candidates generally understood the question and were able to prepare the cash flow forecast as required. However, many candidates were unable to convert the payment terms of some specific items to appropriate cash flow.

Only some of good candidates were able to advise the correct funding requirement to sustain their operation for a given scenario. Some candidates even did not attempt this part.



Question 5(b) – 3 marks

This question required candidates to advise the measures to enhance working capital.

The performance of the candidates was good. Most candidates suggested the measures to improve working capital on both accounts receivables and accounts payables, although the suggestion related to cash receipt was too generic. Most candidates were unable to identify the delay issuance of invoice.

Some candidates mentioned inventories management, but they did not refer to the background of the question that the company did not have any inventory, and some candidates suggested to delay payroll and office rental which is impractical. Candidates should develop a better commercial sense.

Question 5(c) – 3 marks

This question required candidates to advise on the dividend decision.

The performance of the candidates was fair. Some good candidates could point out the dividend policy is a long term financial strategy and should be consistent. Very few candidates were able to compare the interest rate of the loan as the opportunity cost for shareholders.

Quite a lot of the candidates mentioned the signalling effect of share price; however the company in the question is a private company, suggesting the candidates did not understand the background of the question well. In other words, they provided irrelevant arguments not applicable to the question. Some candidate even mentioned that the tax benefit on interests is irrelevant.

Question 6(a) – 11 marks

This question required candidates to perform ratio analysis and provide advice including explaining the potential implications.

The performance of the candidates was satisfactory. Most candidates were able to perform the ratio analysis correctly. However, most candidates were unable to obtain higher marks as they were unable to explain the potential implications properly. Many candidates did not provide any advice and explanation. Some candidates discussed irrelevant issues like the implication of the bank loan and long term financing.

Question 6(b) – 5 marks

This question required candidates to advise on the strategic control measures for the company to improve their performance.

The performance of the candidates was poor. Candidates were not familiar with strategic control measure. Many candidates provided their measure by using the measures of balanced scorecard approach. Some candidates just provided generic measures like discount to customer etc. and some candidates referred to liquidity risk which is irrelevant.

Many of candidates even did not attempt this question.

Question 7(a) – 4 marks

This question required candidates to explain the role of the treasury department regarding the banking relationship management and propose suggestions on what bank solution can be introduced to improve the treasury operation of the company.

The performance of the candidates was poor. Most of the candidates did not understand the question requirement. Only a few candidates were able to focus their discussion on the role of treasury department regarding the banking relationship management and make valid suggestions. Most of the candidates provided a generic function of the treasury department which is irrelevant without addressing the requirements of the question.

Question 7(b) – 4 marks

This question required candidates to advise how the treasurer should facilitate the credit rating exercise by the credit rating agency.

The performance of the candidates was poor. Only some good candidates were able to point out that the treasurer would be the key contact to the credit rating agency, and only very few candidates were able to further elaborate the information required to provide to credit rating agency.

Many candidates misunderstood the credit rating exercise as setting a credit limit to their creditors. Many candidates provided suggestions how to enhance the financials as well as the cash flow. Both observations show candidates failed to understand the question properly.

Question 7(c) – 4 marks

This question required candidates to advise the appropriate regulators that should be approached in order to complain about the mis-conduct case with explanation.

The performance of the candidates was poor. Many candidates just provided generic comments on the behaviour of the relationship manager as inappropriate. Only some candidates mentioned SFC but most of them were unable to elaborate further. Very few candidates could point out other relevant regulators such as HKMA, HKEX and FRC.



Question 7(d) – 6 marks

This question required candidates to advise on how the treasury department contributes to corporate government in terms of risk governance.

The performance of the candidates was poor. Most candidates provided overall company governance structure or discussed enterprise risk management which were irrelevant. Very few candidates were able to point out that the treasury department can support establishing the risk management committee.

(III) Conclusion and Recommendation

Overall, the performance of the candidates was fair. Candidates should learn how to apply their technical and practical knowledge, such as value chain analysis, the American Accounting Association ethical model and overseas due diligence to answer case questions. It is also expected that candidates should be able to calculate net present value with different practical business variables to assess financial feasibility correctly. Moreover, candidates should improve their time management skills in order to complete all questions in the examination and to avoid writing answers in point forms. Candidates should continue practicing using past examination papers to strengthen their analytical and writing skills, both of which are key components in Module 12 examinations.

The advice provided by candidates was too generic and did not apply to the case. Candidates should provide their advice specifically to the case by properly understanding the background of the questions instead of providing generic advice and copying irrelevant information from their reference materials.

Candidates are also suggested to develop their skills on providing advice and developing their business sense.